Whitefish CREDIT UNION

Startup Starter

Launch Your Startup: From Idea to Market Value

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Session 4: Big Money (Or not).

Developing a financial model.

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Your Financial Model

1. How much will selling your product cost? How will these costs change as you grow? (some costs will change, other costs will not).

2. What price will you charge for each unit of your product? How will this price change over time?

3. How many units (Quantity or Q) will you sell? How will these sales increase over the first year? 3 years? Five years?

4. How will your revenues (Revenue=PxQ) change as sales change? How will this affect earnings and net income (Revenue – Costs)?

Funding Options

1. Self-funding and FFF ($0 - $20k) (**80% of startups**)
2. Pitch Competitions and Accelerators ($20k - $50k) (**15%**)
3. Angel Investors ($100k - $500k) (**4.5-5%**)
4. Venture Capital ($1M - $nM) **(0.5-1%)**

Funding matches stage of development.

STEPS TO BUILD A FINANCIAL PLAN

1. The Revenue (Sales) Forecast
2. The Costs Forecast
3. The Income and Cash Flow Forecasts

SELECT REVENUE MODEL

- Pay one time charge (upfront) for the product
- Pay per transaction
- Pay by the hour
- Monthly or annual subscriptions (or leasing)
- Usage based, pay for how much you use or recurring fee for certain amount of usage
- Low margin product with upsell potential
- Third party advertising
- Email list and data monetization

Your sources of revenue may change and grow as the company grows

Revenue Exercise

1. Consider your product idea. What is your revenue model? That is, how will you make money?
2. Describe your projected level of output 12 months after launch. How will you grow into this level of output month after month (that is, how will sales increase each month)?
3. How much total revenue will you make after 12 months? Calculate your revenue during month 12 (this is Monthly Recurring Revenue) and your total annual revenue (this is Annual Recurring Revenue).
4. Be prepared to share with the group.

MOUNTAIN MAN
WHOOPIE PIES

	Month 1	Month 2	Month 3	…	Month 12	Annual Totals
Price	$5	$5	$5		$5	
Quantity	1,200	1,800	2,400		7,800	54,000
Revenue	$6,000	$9,000	$12,000		$39,000	$270,000

Month 1 Assumptions:
--Open 24 days, 8am-8pm
--50 Whoopie Pies sold per day
--~4 dozen Whoopie Pies
--Average order size: 4 Pies
--Need 12 orders per day
--1 order per hour.

Month 12 Assumptions:
--Open 24 days, 8am-8pm
--325 Whoopie Pies sold per day
--27 dozen Whoopie Pies
--Average order size: 6 Pies
--Need 54 orders per day
--4.5 orders per hour (one order every 13 minutes)

How much does an average cookie store make?

Good question — but there's no single "average cookie store." It really depends on the bakery's size, location, product mix (cookies vs breads vs pastries), and traffic. That said — using data from U.S. bakeries (retail & small-to-mid size) gives a useful ballpark.

📊 What We Know — Bakery Revenue Benchmarks

- Many "small to mid-size" bakeries in the U.S. report **annual revenue in the range of about $325,000–$450,000**. Toast POS +2
- Translating that to a monthly basis: that's roughly **$27,000–$38,000/month**. Toast POS +1
- Another industry survey across thousands of bakery businesses puts the broader average at about **$944,084/year** — though this likely includes larger, multiple-product bakeries, not strictly cookie-focused shops. SharpSheets +1
- For many modest urban/suburban bakeries, a more typical monthly revenue range tends to be **$30,000–$50,000/month** (before expenses). BusinessDojo +1

COSTS

- Startup Costs
  - What do you need to get up and running?

- Operating Costs **(OpEx)**
  - You on-going (monthly) costs to stay in business (literally, what you need to keep the lights on)

- Unit Costs (Unit Economics)
  - What you have to pay to produce/deliver one "unit" of your product or service

Other Key Costs

1. Cost of Goods Sold (COGS: cost to produce one unit of output AFTER launch).

2. Cost of Acquiring Customers (CAC: Marketing and sales costs to acquire one customer)

3. Sometimes called Key Performance Indicators (KPIs)

Cost Exercise

1. Consider your product idea. How do you define one “unit” of your product or service?
2. Consider your needed resources to launch and grow your business. What are your startup costs (fixed inputs)?
3. How can you **reduce costs to an absolute minimum** at launch? That is, what is your Minimum Viable Launch (MVL)?
4. Be prepared to share with the group.

Other Key Performance Indicators (KPIs)

- Customer Acquisition Rate: percentage of total leads turn into actual sales (sometimes called conversion rate)
- Sales Cycle: how long it takes to identify, engage, track, support, close, and collect payment.
- Lifetime Value (LTV): total revenue received from typical customer during their lifetime as a customer.
- LTV/CAC Ratio
- Churn Rate: Percentage of customers that drop in a given time period (usually per month)

MOUNTAIN MAN
WHOOPIE PIES

12-Month Pro Forma Income Statement for "Mountain Man Whoopie Pies"

Month	Jan
Unit Price	$5.00
Units Sold	1,200
Revenues	6,000

12-Month Pro Forma Income Statement for "Mountain Man Whoopie Pies"

Month	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Unit Price	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	-
Units Sold	1,200	1,800	2,400	3,000	3,600	4,200	4,800	5,400	6,000	6,600	7,200	7,800	54,000
Revenues	6,000	9,000	12,000	15,000	18,000	21,000	24,000	27,000	30,000	33,000	36,000	39,000	270,000

- **12-Month Pro Forma Income Statement for "Mountain Man Whoopie Pies"**

Cost of Goods Sold	
Ingredients	1,800
Production Labor	1,200
Gross Profit	3,000

Cost of Goods Sold (COGS) = $3,000

- **12-Month Pro Forma Income Statement for "Mountain Man Whoopie Pies"**

Month	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Unit Price	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	-
Units Sold	1,200	1,800	2,400	3,000	3,600	4,200	4,800	5,400	6,000	6,600	7,200	7,800	54,000
Revenues	6,000	9,000	12,000	15,000	18,000	21,000	24,000	27,000	30,000	33,000	36,000	39,000	270,000
Cost of Goods Sold													
Ingredients	1,800	2,700	3,600	4,500	5,400	6,300	7,200	8,100	9,000	9,900	10,800	11,700	79,800
Production Labor	1,200	1,800	2,400	3,000	3,600	4,200	4,800	5,400	6,000	6,600	7,200	7,800	54,000
Gross Profit	3,000	4,500	6,000	7,500	9,000	10,500	12,000	13,500	15,000	16,500	18,000	19,500	136,200

- **12-Month Pro Forma Income Statement for "Mountain Man Whoopie Pies"**

Month	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Unit Price	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	$5.00	-
Units Sold	1,200	1,800	2,400	3,000	3,600	4,200	4,800	5,400	6,000	6,600	7,200	7,800	54,000
Revenues	6,000	9,000	12,000	15,000	18,000	21,000	24,000	27,000	30,000	33,000	36,000	39,000	270,000
Cost of Goods Sold													
Ingredients	1,800	2,700	3,600	4,500	5,400	6,300	7,200	8,100	9,000	9,900	10,800	11,700	79,800
Production Labor	1,200	1,800	2,400	3,000	3,600	4,200	4,800	5,400	6,000	6,600	7,200	7,800	54,000
Gross Profit	3,000	4,500	6,000	7,500	9,000	10,500	12,000	13,500	15,000	16,500	18,000	19,500	136,200
Operating Expenses													
Rent	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	24,000
Salaries	7,000	7,000	7,000	7,000	7,000	7,000	7,000	7,000	7,000	7,000	7,000	7,000	84,000
Marketing	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	2,500	30,000
Utilities	500	500	500	500	500	500	500	500	500	500	500	500	6,000
Depreciation	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	12,000
Other Expenses	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	1,500	18,000
Total Operating Expenses	14,500	14,500	14,500	14,500	14,500	14,500	14,500	14,500	14,500	14,500	14,500	14,500	174,000
Net Income	(11,500)	(10,000)	(8,500)	(7,000)	(5,500)	(4,000)	(2,500)	(1,000)	500	2,000	3,500	5,000	(37,800)

Homework: Your 36 Month P&L

1. Focus on developing a skeleton Profit and Loss statement (P&L)
2. Estimate how sales will increase 12, 24, and 36 months after your launch.
3. Show how costs and revenues will change over these 36 months.
4. Estimate your revenue after 12, 24, and 36 months.